The record number of foreclosures is mind-boggling. In 2008, $500 billion dollars of mortgages will adjust (the ARM is called the Adjustable Rate Mortgage for a reason) and the adjustment will be a killer for a lot of people. Over $300 billion of those mortgage dollars are subprime mortgages. Many people won't be able to afford the payment with the new interest rate and home prices dropping all across the country. That means that people will owe more on their home than it is now worth. Not a pretty situation.

My down and dirty explanation: Subprime mortgages are handed out to people who don't possess the best of credit. This is a practice that many lenders are involved in, and I don't agree with it at all. They anticipate that folks with bad credit eventually won't be able to make their mortgage payments on time. What happens next? The bank slips in to repossess the home, only to turn around and sell it once again.

With the housing industry suffering at present, these greedy lenders are seeing their plans backfire. When they repossess these homes, they are now unable to make back what they originally loaned it out for. The "Subprime Lending Crisis" keeps making news as many of these subprime lenders are going bankrupt. They should not have been making the loans in the first place, but I digress. If you are in this situation, keep the faith. You may not lose your house to foreclosure after all.

There is an option called a short sale. What happens: You, the home owner, need to sell but can't get what you still owe out of the house; the bank agrees to accept an offer for less than the total amount owed to pay off the home, hence they will come up "short." Normally when you sell your house, you pay off the bank and have a little equity left over. In this case, you have no equity and still owe the bank a little (or a lot!), but they allow the sale. It prevents a foreclosure and saves everyone headaches in the long run. In many situations, someone who knows you will buy the house at a discounted price and then resell it back to you when conditions improve.

For example, take Hilton. His aunt buys his house in a short sale for cheap, only to later resell it to him when he has his credit back under control. He now no longer needs to take an ARM. He can take a fixed mortgage with a good rate because he has used *Debt Cures* to clean up his credit. His loan is less, his interest is lower. His story has a happy